

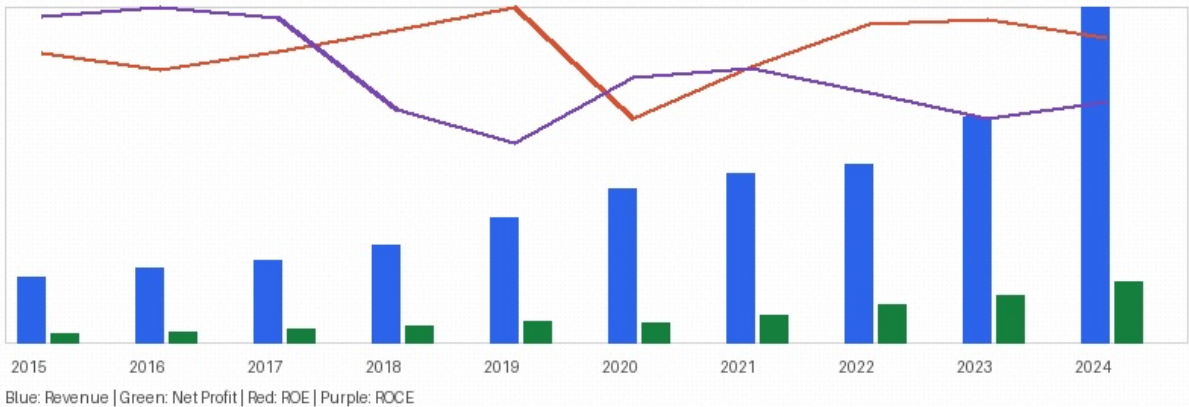
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

ROE 17.46%	ROCE 3.51%	NPM 17.85%
D/E 6.86	Revenue CAGR 21.94%	FCF -38,538.00

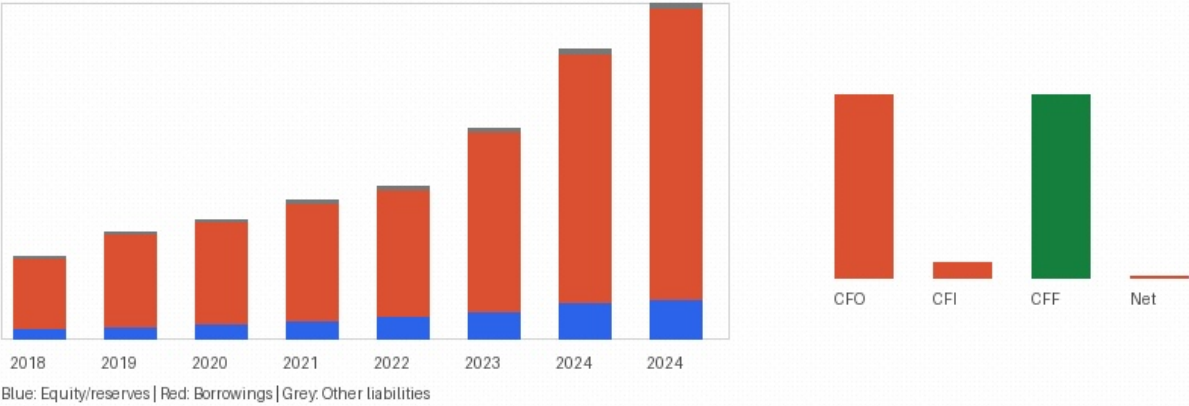
Sector: Financials | Sub-sector: Consumer Finance

Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Operating profit margin above 25% indicates strong pricing power and cost discipline	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Net profit compounding at above 20% over 5 years creates significant shareholder value	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt